

What does FTC's antitrust lawsuit against Amazon mean for the market?

In recent years, Amazon has established its position in the global market as an online retail behemoth, commanding more than 70% of the market share of online retail superstores. In addition to this, it comprises of other verticals from media entertainment to cloud computing. The U.S. government's lawsuit against Amazon, alleges monopolistic practices and sheds light on a concerning reality: the unchecked power brandished by this technology giant. Even if the FTC can win its case against the tech giant, it will have little impact on Amazon's economic power.

The crux of the government's lawsuit against Amazon is that it is using coercive tactics to maintain its monopoly in the market. The lawsuit revolves around the accusation of employing anticompetitive strategies to maintain its monopoly power in the market. While consumers may believe that they are viewing varieties of offers on their screens, little do they know that the unlawful practices of Amazon are unfair to the sellers, which ultimately raises prices for the consumers. These punitive and coercive strategies include predatory pricing, stifling innovation through agreements, and leveraging its dominance in one market to enter another and dominate. By controlling important technology infrastructure and using anti-discounting measures, Amazon effectively dictates terms to third-party sellers and imposes unfair conditions, limiting their ability to thrive independently or effectively compete against Amazon.

While Amazon's vast array of products, services and advertisements may seem beneficial to consumers at the first instance, the absence of meaningful competition ultimately harms them in the long run. The customer's search results are filled with unwanted advertisements that are degrading the search quality or experience for the consumer. Search results that bias Amazon's products over the good quality/lower price products only point towards Amazon's attempts towards unlawfully maintaining its monopoly in the market. With fewer alternatives available, consumers face limited choices, reduced innovation, and potentially higher prices. On the other hand, they are being pelted with so many options that the better quality/lower priced options are submerged under a mountain of Amazon's product options. Moreover, Amazon's expertise in information technology services and cloud computing raises concerns about data privacy and security, further exacerbating the risks associated with unchecked power.

According to the company's statements post the lawsuit, Amazon gives importance to merchants who post competitive prices and in doing so, offer good deals to the consumers. In the same context, the company said that FTC has confused its pricing strategies as anti-competitive. Amazon, in the past, explicitly prohibited merchants from offering lower prices on other platforms which it stopped. The FTC's claim is that it continues through other means. Analysing Amazon's history and other things considered, there is no justification for influencing prices on other platforms. The Federal Trade Commission's aim is to protect consumers and promote competition. However, Amazon's unlawful monopolistic practices create formidable barriers to entry for aspiring businesses, and hinders those that exist. By unfairly prioritizing its own products and conditioning sellers to restricted access to its platform, Amazon stifles innovation and competition, depriving consumers of the diverse range of products and services that a competitive market would otherwise offer.

To address these pressing issues and restore a level playing field, it is imperative that Amazon's exclusionary actions are prohibited and a check is placed on their unlawful monopolistic practices. By doing so the different segments of the company, such as its e-commerce platform, cloud

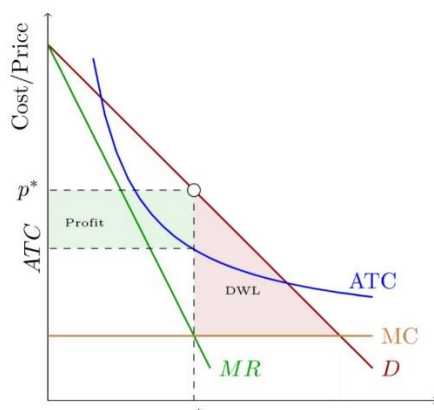
services, and entertainment ventures, competition can be revitalized, empowering smaller businesses to thrive, ultimately fostering innovation. A ruling in this case could end up with the court ordering Amazon to stop its unlawful practices such as forcing businesses to buy packaging services and so on. This may result in lower prices for consumers and businesses, and this would not even be a dent on Amazon considering its economic power. Additionally, imposing stricter regulations on dominant tech companies can prevent future monopolistic behaviour and promote fair competition in the digital marketplace.

The U.S. government's lawsuit against Amazon signifies the urgent need to understand and confront monopolistic power in the tech industry. With the rise in technology in the contemporary world, there is a lot of evolution in the field of information technology and in the manipulation of it. By holding Amazon accountable for its anticompetitive practices and curbing such practices, we can pave the way for a more competitive and innovative market. The interests of consumers, entrepreneurs, and businesses must be protected against the unlawful practices of tech giants. A substantive win of the FTC in this case may not affect Amazon's dominance in the market, it is important to keep a check. Addressing these issues is a crucial step towards safeguarding the principles of competition and innovation.

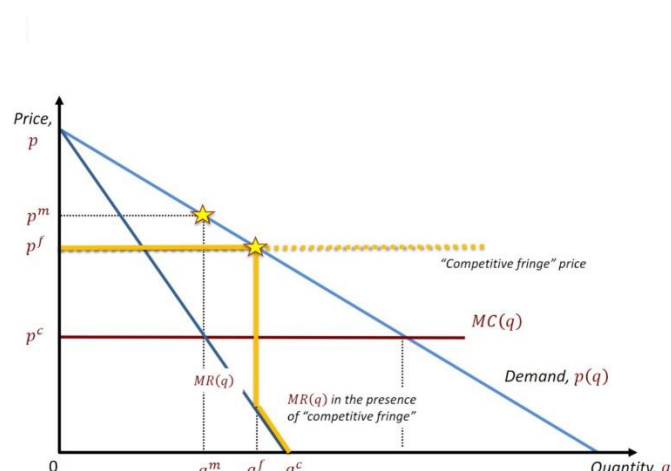
Technical Appendix

In the accompanying opinion editorial, the aim is to provide an understanding of the economics behind the FTC's lawsuit in coalition with 17 states, against Amazon. The lawsuit examines Amazon's pricing strategies, including allegations of predatory pricing and price-fixing. Monopolies have significant market power that allow them to dictate the trade without any competitive pressure. By regulating monopolies, governments can ensure a level playing field for small to large businesses and ensure competitive freedom in the market. In microeconomic understanding, we know that if a monopoly is allowed to set its own price, the deadweight loss that results, would be huge. This is represented in **Graph 1**. Regulation or keeping a check would ensure that a monopoly does not wield its influence extensively in the market. Upon such regulation, other small businesses will also be protected and gain support to progress. Having small competitors with higher costs force the monopoly to increase production. This leads to dead weight losses that are smaller and reduced inefficiency. The impact of small competitors can be seen in **Graph 2**.

Graph 1



Graph 2



References Appendix

Link	Reference	Usage
FTC Press Release	Lawsuit comprising practices	Used to understand and state the unlawful practices used by Amazon, i.e., mentioned in the FTC's lawsuit
Reuters	Source of data	Referenced to state the facts on Amazon's dominant market power
Reuters	Statements from Amazon	Utilized to represent Amazon's case post the lawsuit
Amazon	Counterargument	Utilized to provide the counterargument made by Amazon
ILSR	Possible impact	Represents the possible impact that could happen if FTC wins the lawsuit against Amazon